DATABEL TELECOM LTD

Customer Churn Analysis

Strategic insights & retention recommendations for Product & Commercial teams

*Prepared by: **Asiya Nizam*** | *Data Source: DataCamp — Databel Dataset* | *Tools: Power BI · Power Query · DAX · MS Excel*

What We'll Cover Today

01

Business Context

Why churn matters & project scope

02

Key Findings

Top churn drivers across all segments

03

Deep Dive Analysis

Competition, Demographics, plans, payments & service calls

04

Recommendations

11 actionable strategies for retention

05

Next Steps

Owners, timeline & expected impact

SECTION 01

Business Context

Understanding why churn matters in the telecom industry

The Business Problem

Revenue Erosion

Every churned customer represents immediate lost recurring revenue and the cost of replacement acquisition.

High Acquisition Cost

Acquiring a new customer costs 5–7× more than retaining an existing one, making churn disproportionately expensive.

Brand & Loyalty Risk

Churned customers often cite poor experience — damaging brand reputation and reducing referral potential.

Competitive Pressure

Telecoms face fierce competition. Any gap in value — pricing, devices, data — gives rivals an opening to poach customers.

The Objective

01 🔍 **Analyse Churn Patterns**

Examine churn behaviour across 6,687 customers spanning demographics, contracts, plans, and service usage.

02 ⚠️ **Identify High-Risk Segments**

Pinpoint the specific customer groups, behaviours, and characteristics most strongly associated with churn.

03 📊 **Evaluate Plans & Contracts**

Assess the impact of contract types, payment methods, international plans, and add-on services on retention.

04 ✅ **Deliver Actionable Recommendations**

Translate findings into concrete, prioritised strategies that the Product & Commercial teams can act on.

Audience: Product & Commercial Strategy Teams

SECTION 02

Key Findings

Top churn drivers identified across all customer segments

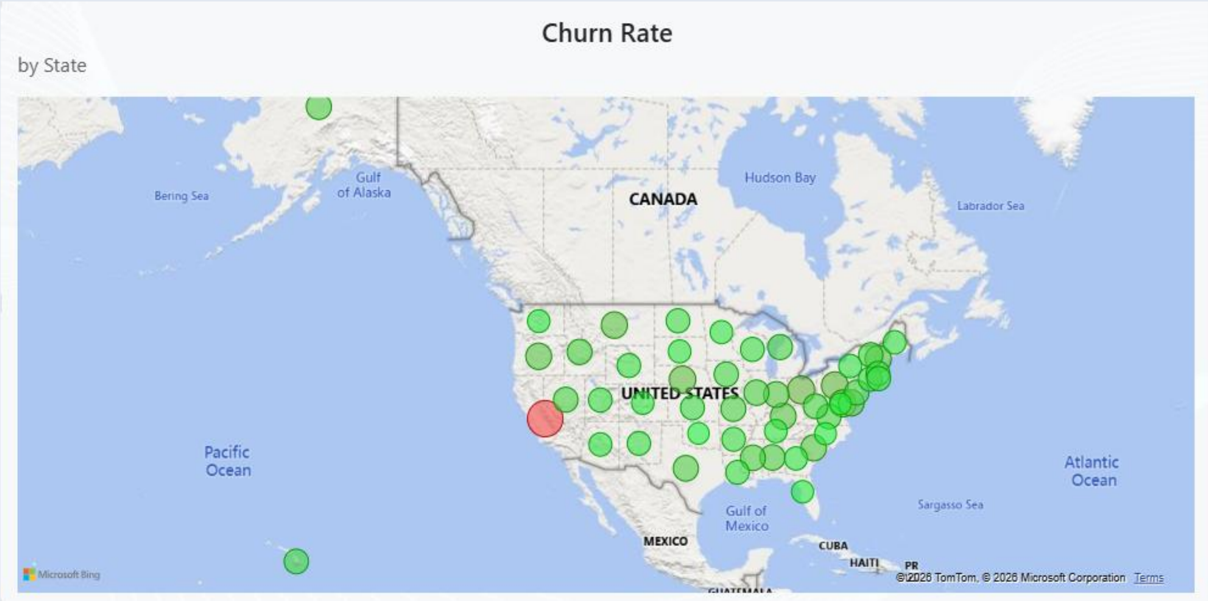
At a Glance — Key Metrics

6,687
Total Customers
Dataset scope

1,796
Churned Customers
Lost customers

26.86%
Overall Churn Rate
Industry avg ~20%

63.24%
CA Churn Rate
Highest state

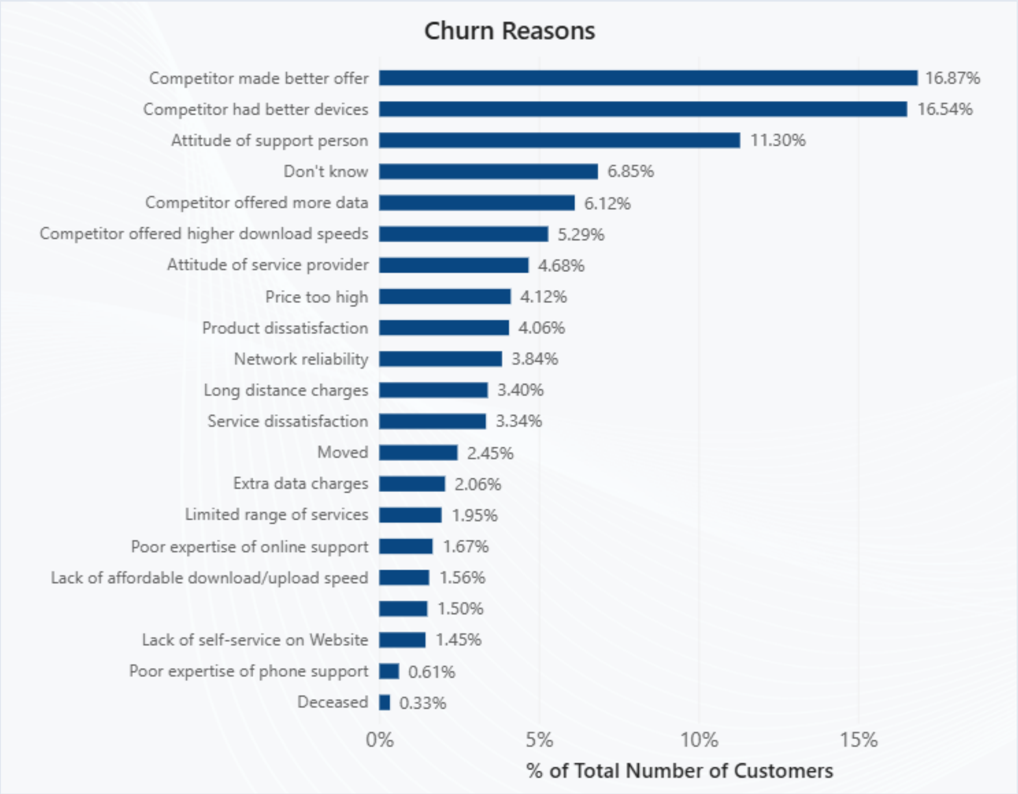


SECTION 03

Deep-Dive Analysis

Competition, Demographics, contracts, payments, plans & service calls

Why Are Customers Leaving?



~45%

churned due to competitor reasons

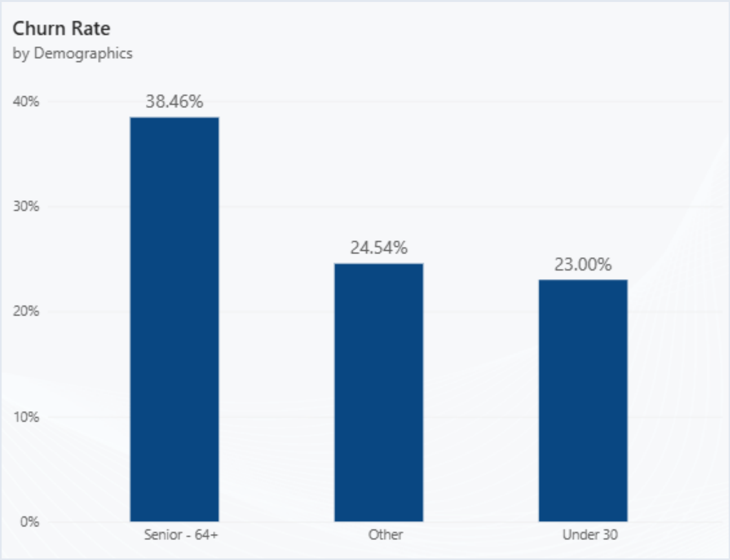
11.30%

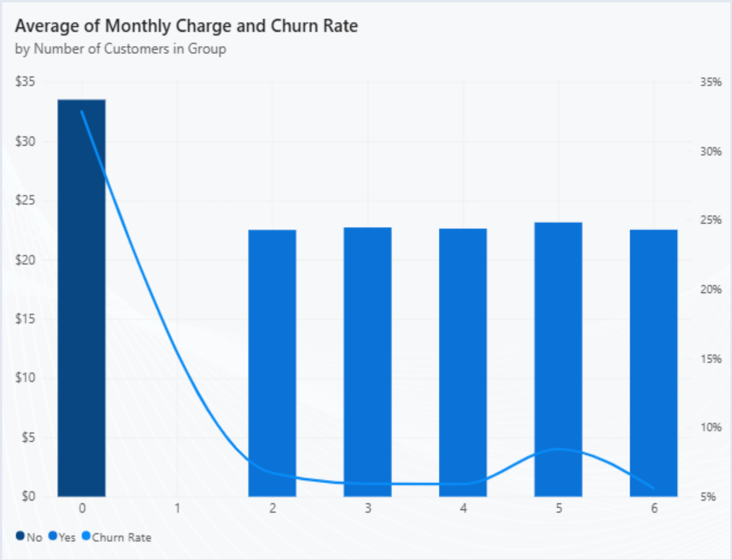
due to poor attitude of support staff

Implication

Pricing & device upgrades are the fastest wins to stop competitor-driven churn.

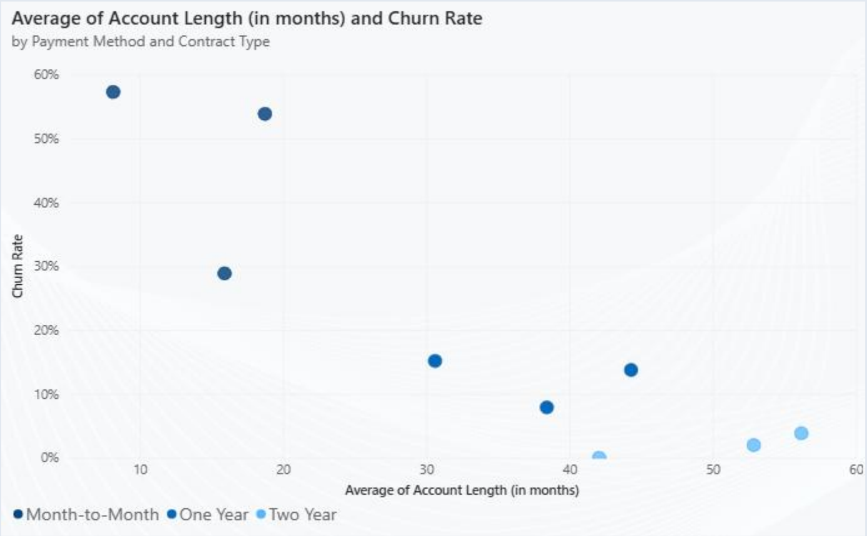
Demographics & Group Plans

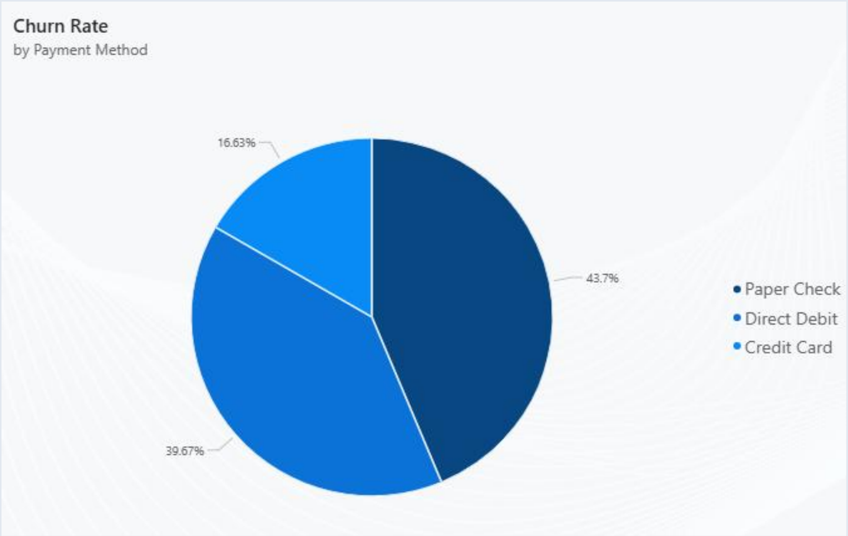




Key Insight: Senior customers churn at 38.46% — 12pp above average. Customers outside group plans churn at 32.85%. Both segments need targeted retention strategies.

Payments & Contracts





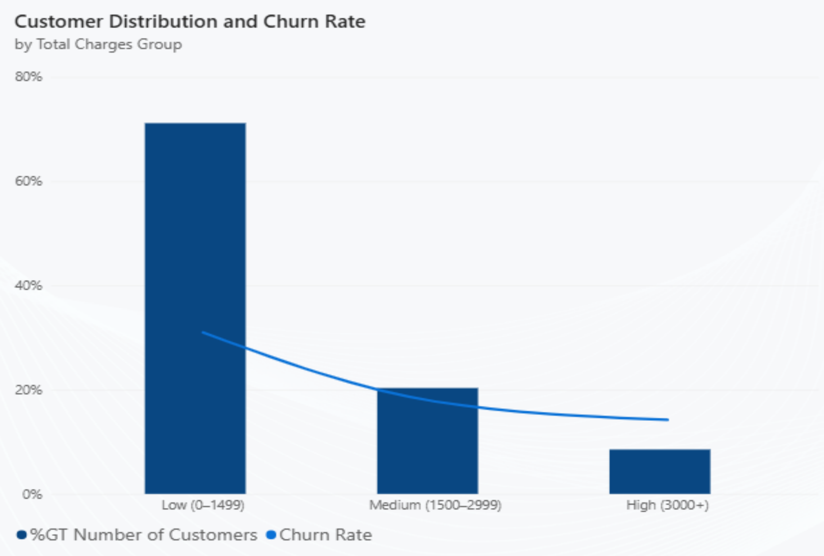
Monthly contract customers have a churn rate of 46.29% and also have the lowest average account length.

Direct debit users churn at just 16.63% — paper check users at 43.70%. Payment method is a key loyalty signal.

International Plans & Charges

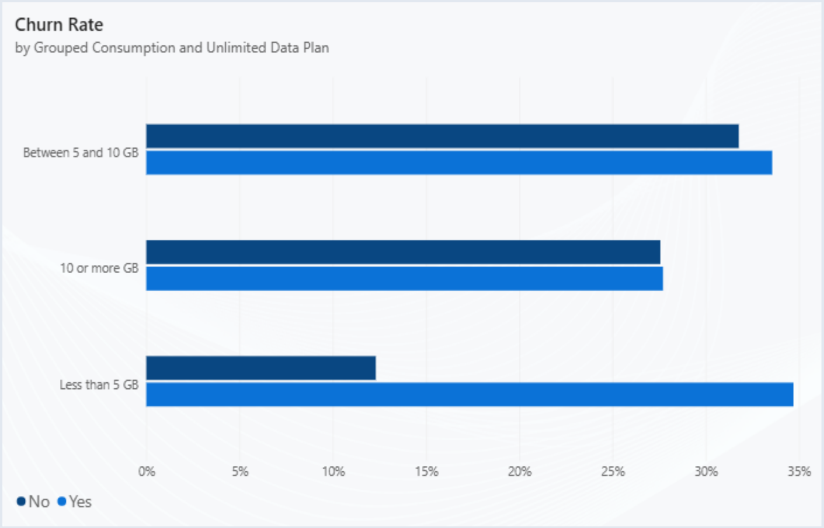
Churn Rate - Intl Active vs Intl Plan

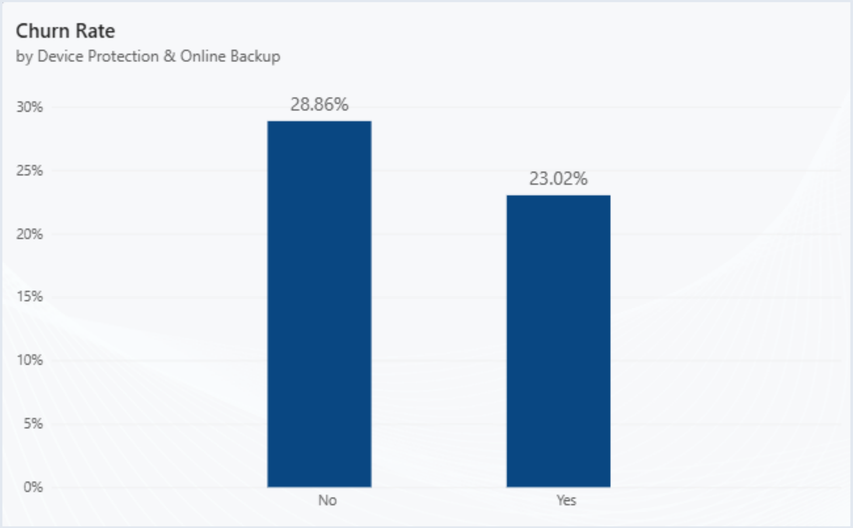
Intl Active	No Plan	Has Plan
Active User	40.34%	7.59%
Not Active	20.01%	71.19%



Critical Finding: 71% of customers are in the Low charge tier and churn at 30.98%. Customers having an international plan with zero international usage represent the single highest-risk group at 71.19% churn.

Unlimited Data Plan & Service Add-ons





Customers with an unlimited data plan and below 5GB of data usage have the highest churn rate of ~35%.

Customers without a device protection & online backup plan have a higher churn rate.

Customer Service as a Churn Predictor

6,123

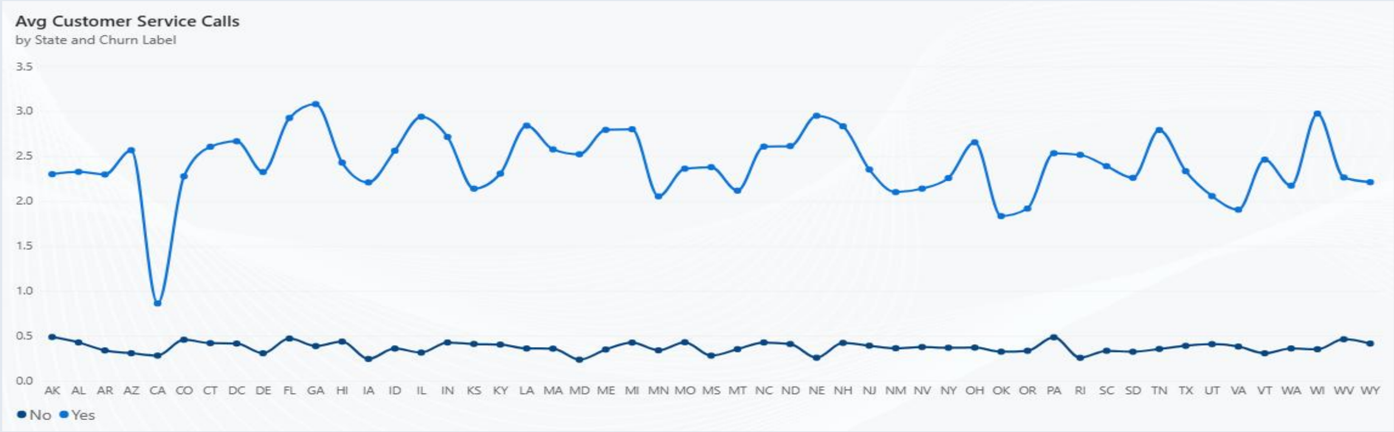
Total Service Calls

0.37

Avg Calls (Non-Churned)

2.4

Avg Calls (Churned)



Critical Finding: Churned customers made 2× more service calls than retained ones — unresolved issues are the #1 early warning signal of churn.

SECTION 04

Recommendations

11 strategic actions mapped directly to each finding

Strategic Recommendations

REC 01

California Retention Programme

Regional audit + targeted campaigns & dedicated account managers for high-value CA customers.

REC 02

Strengthen Competitive Value

Competitive benchmarking cycle + proactive loyalty upgrades with device offers & price-matching.

REC 03

Senior Customer Strategy

Senior-specific plan with simplified pricing, priority support & dedicated trained agents.

REC 04

Drive Group Plan Adoption

Targeted campaigns to individual subscribers + referral incentives for existing group members.

REC 05

Convert Monthly to Long-Term

Incentive-based migration — discounted rates, bonus data or free add-ons for annual commitments.

REC 06

Migrate to Automated Payments

Bill credits or discounts to switch paper check users to direct debit — reduces interruptions & churn.

Strategic Recommendations

REC 07

Optimise International Plans for Non-Users

Auto-trigger outreach after 60–90 days of zero Intl usage — offer downgrade or credit proactively.

REC 08

Proactive Engagement: Low-Spend Customers

Structured onboarding journey + milestone-based rewards to build value before churn risk peaks.

REC 09

Re-evaluate Unlimited Plan Positioning

Usage-based segmentation — guide low-usage customers to better-fit plans; reposition for heavy users.

REC 10

Bundle Add-on Services

Integrate device protection & online backup into mid-tier plans + free trial campaign for existing customers.

REC 11

Early Warning System — Service Calls

Flag customers with 3+ calls in 90 days; auto-escalate to senior retention specialist for outreach.

SECTION 05

Next Steps

Prioritised actions, ownership & expected impact

Next Steps & Ownership

Immediate (0–30 days)

- Launch CA retention task force
- Identify Intl plan non-users for outreach
- Flag high service-call customers for escalation

Short-term (1–3 months)

- Roll out monthly → annual contract incentive
- Begin group plan adoption campaign
- Pilot direct debit migration with bill credit offer

Medium-term (3–6 months)

- Launch senior customer dedicated plan
- Integrate add-ons into standard mid-tier plan
- Build churn risk scoring model on service call data

Ongoing

- Competitive benchmarking cycle (quarterly)
- Monitor unlimited plan churn by usage cohort
- Review low-spend customer engagement metrics

Owner: Product & Commercial Strategy — in collaboration with Customer Experience, Marketing, and Technology teams

Reducing churn is not a single fix —

it's a system of signals, responses, and relationships.

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Data Source: DataCamp — Databel Fictional Dataset · Tools: Power BI · Power Query · DAX · MS Excel